



RESEARCH ARTICLE

REVISED Modernizing Commercial Agency Regulations in Saudi**Arabia: Legal Reforms and Comparative Insights**

[version 4; peer review: 4 approved]

Abdullah Ali Alasmari¹, Hajed A. Alotaibi ²¹Assistant Professor, Department of law, College of judicial studies and regulations, Umm Alqura University, Mecca, Mecca, Saudi Arabia²Associate Professor, Department of Sharia, College of Sharia and Law, Majmaah University, Al Majmaah, Riyadh Province, 11952, Saudi Arabia**V4** First published: 12 Sep 2025, **14**:912
<https://doi.org/10.12688/f1000research.168970.1>Second version: 18 Nov 2025, **14**:912
<https://doi.org/10.12688/f1000research.168970.2>Third version: 03 Dec 2025, **14**:912
<https://doi.org/10.12688/f1000research.168970.3>Latest published: 21 Jan 2026, **14**:912
<https://doi.org/10.12688/f1000research.168970.4>**Abstract****Background**

This study analyzes Saudi Arabia's 2022–2023 reforms to the Commercial Agency Law through legal, economic, and comparative lenses. The pre-reform regime—marked by rigid nationality limits, procedural burdens, and litigation-prone termination rules—constrained market entry and investor confidence.

Methods

Using a doctrinal approach to statutes and implementing regulations, triangulated with Saudi judicial practice and policy instruments, we benchmark Saudi reforms against the UAE and UK. A Shariah lens clarifies how *gharar* (uncertainty), *fasakh* (rescission), and unjust enrichment (*akl al-māl bil-bāṭil*) shape agency disputes.

Results

Key changes include more flexible nationality rules, end-to-end digital registration and renewal, clearer termination/compensation standards, and formal recognition of arbitration (including SCCA). Together these measures enhance contractual predictability and lower compliance frictions, with early indications of improved market

Open Peer Review**Approval Status** 

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version 4 (revision) 21 Jan 2026				
version 3 (revision) 03 Dec 2025			 view	 view
version 2 (revision) 18 Nov 2025	 view	 view	 view	 view
version 1 12 Sep 2025	 view	 view		

1. **Farhaan Wali**, Bangor University, Bangor, UK
2. **Alija Avdukic** , University of Dundee, Dundee, UK
3. **Sabri Boubaker**, EM Normandie Business School, Métis Lab, Caen, France
4. **Mohamad Hidayat Muhtar** , Universitas Negeri Gorontalo, Gorontalo, Indonesia

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transparency and investor sentiment.

Conclusions

The reforms signal a hybrid model—liberalization aligned with global practice while preserving a Shariah-grounded identity. Remaining priorities include consistent judicial application, practitioner training, clearer guidance, and GCC coordination. We propose thematically grouped policy steps to consolidate gains and support Vision 2030's diversification agenda.

Keywords

Saudi Arabia, Commercial Agency Law, Legal Reform, Shariah Compliance, Arbitration, Foreign Direct Investment, Comparative Law, Vision 2030.

Corresponding author: Hajed A. Alotaibi (h.alotaibi@mu.edu.sa)

Author roles: Alasmari AA: Conceptualization, Funding Acquisition, Methodology, Project Administration, Resources, Supervision, Validation; Alotaibi HA: Conceptualization, Formal Analysis, Investigation, Methodology, Project Administration, Validation

Competing interests: No competing interests were disclosed.

Grant information: This research work was funded by Umm Al-Qura University, Saudi Arabia under grant number: 25UQU4350008GSSR01.

The funders had no role in study design, data collection and analysis, decision to publish, or preparation of the manuscript.

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How to cite this article: Alasmari AA and Alotaibi HA. **Modernizing Commercial Agency Regulations in Saudi Arabia: Legal Reforms and Comparative Insights [version 4; peer review: 4 approved]** F1000Research 2026, 14:912 <https://doi.org/10.12688/f1000research.168970.4>

First published: 12 Sep 2025, 14:912 <https://doi.org/10.12688/f1000research.168970.1>

REVISED Amendments from Version 3

In this revision, I carefully reviewed the entire document through detailed proofreading and selective editing to improve clarity and coherence. I revised several sections to strengthen the quality of the writing and ensure that ideas were clearly expressed. The doctrinal analysis was expanded and systematized, supported by an Old vs. New Regime table, and the comparative analysis with the UAE and UK was reorganized for greater coherence. Empirical references were better documented, and the discussion of Shariah doctrines was deepened.

In addition, I added relevant references and confirmed that the paper fully complies with APA formatting guidelines including structure citations and overall presentation. After completing these revisions, I conducted a final review to ensure that each paragraph was well developed and logically organized. This step helped improve transitions between sections and enhanced overall readability.

Any further responses from the reviewers can be found at the end of the article

1. Introduction

Over the past few years, the Kingdom of Saudi Arabia (KSA) has experienced several economic and legal reforms as part of the ambitious Vision 2030. Among the key areas of regulation influenced by these changes is commercial agency law, which underpins the formation of business relationships between local agents and overseas principals. Traditionally, the Saudi commercial agency laws were initially defined by Royal Decree No. M/11 of 1382H (1962) was marked with the protectionist policy and strong restrictions on foreign principals. Although these rules were meant to empower local businesses and protect national economic interests, they tended to yield inflexible business regulations that discouraged foreign direct investment (FDI) and market liberalization.

There is an increasing scholarly literature explaining why commercial agency regimes need to be modernised to strike the right balance between investor security and market competitiveness. Regarding the self-inflexibility of pre-reform systems, restrictive agency laws increase transactional risks and reduce the entry of multinational corporations into regional markets. In the same way, comparative law analysis of jurisdictions like the UAE and the UK shows that the presence of predictability in the law, a well-developed and accessible dispute resolution system, and concise compensation guidelines leads to a high level of investor confidence (Sornarajah, 2021). All these works aim to address a research gap. As discussions of the reform increase, little research offers a closer doctrinal and comparative examination of recent agency reforms in Saudi Arabia and how they fit within both Shariah and global best practices.

Furthermore, some researchers, including Alotaibi (2021), have noted the overlap between Shariah jurisprudence and current commercial law, arguing for legal paradigms that can merge Islamic principles with contemporary economic conditions. For example, the gharar (uncertainty) principle traditionally complicated the contract of open-ended agency. Still, recent reforms have sought to bring these principles into international market standards (El-Gamal, 2006). This two-sidedness offers fertile ground for legal investigations, particularly in assessing how Saudi Arabia can remain an Islamic legal entity while also incorporating market-driven changes compatible with international trade regimes.

Furthermore, the adoption of these reforms overlaps with Saudi Arabia's obligations under international conventions, such as WTO membership and bilateral investment treaties, and it is crucial to consider how these reforms will fit within international trade regulations (Sornarajah, 2021). The discussion of these dimensions helps clarify how Saudi Arabia positions itself in the global commercial realm. The new Commercial Agency Law meets these requirements by outlining procedures for registration, termination, and dispute resolution. It minimizes legal ambiguity without reducing the Kingdom's core regulatory freedom. This situational connection makes the reforms internationally relevant without exaggerating their importance within a broader law-and-development discourse.

Even the application of Shariah-based principles in contemporary legal systems raises further essential questions about judges' interpretation and application of the laws. The study illuminates how Islamic jurisprudence has been modified in response to the commercialization of global economies by examining how the courts strike a balance between religious beliefs and modern commercial standards (Hallaq, 2009). Furthermore, the study can be included in discussions of hybrid legal systems and of Saudi Arabia's role in providing its population with aspects of civil law, common law, and Islamic legal traditions (Otto, 2010). This hybridity offers a new avenue for other jurisdictions seeking to modernize while retaining cultural and religious identity.

The main contribution of this article is the development of a three-vector model of institutional fit, doctrinal compatibility, and alignment with Vision 2030 to assess commercial agency reforms in a Shariah-based legal system. Based on this framework, the paper demonstrates that recalibrating agency law-investment policy through it creates a unique hybrid

model that cannot be diluted into either regional practice, as seen in the UAE, or the UK's liberal agency regime. By doing so, it transcends traditional legal transplant scripts by showing how reforms in Saudi Arabia incorporate international investor-friendly characteristics into a normative framework grounded in Shariah and domestic institutional constraints. In cases where this research draws on policy reports, they can only be used as contextual pointers to the modern-day reform processes. The article's analytical premises are primarily based on academic sources in comparative law, commercial jurisprudence, and Islamic commercial law, as well as on the institutional adaptation theory, which serves as the framework for interpreting the statutory changes (Reimann & Zimmermann, 2019).

Conceptual Framing: The discriminatory integration of foreign principles into Saudi Arabia's commercial agency law invites the traditional discourse on legal transplant and institutional adjustment. Modernization can be enhanced by transplant, but borrowed rules cannot work without being fitted to local organizations and normative anchors (Reimann & Zimmermann, 2019). In a mixed system grounded in the Shariah, the risk is not formal incompatibility but interpretive friction, unless adjudicative practice and administrative guidance develop concomitantly (Badr, 1978). This also places the reforms within the law-and-development discourse, which balances the standard-setting pressures of globalization with legal particularism and legitimacy (Cane & Kritzer, 2010).

In this paper, we consider the post-2022 regime in Saudi Arabia as a strategy of hybridization: we are liberalizing, specifically in the areas of digitalization, adjudication, and clarity in termination, while applying agent safeguards in moderation to maintain the stability of relations. We test two implications in the paper: (i) does hybridization enhance predictability among foreign principals without impairing the coherence of doctrine among domestic actors; (ii) is the success of transplanted features mediated by institutional adaptation (judicial technique, regulatory guidance, and practitioner capacity) (Sfeir, 2007).

The strategic context of Vision 2030 increases the significance of this question. Vision 2030 expressly aims to diversify the Saudi economy away from oil reliance, encourage investment, and attract international capital into sectors beyond petroleum (Ramady, 2010). Legal modernization is a cornerstone of this change and signals to global investors that Saudi Arabia is determined to establish a transparent, predictable, and enforceable regulatory environment. The commercial agency reforms can therefore be interpreted not just as technical adjustments to the legal framework but also as a tactical tool used to achieve broader economic goals, such as rising FDI inflows, competitiveness, and internationalization (O'Kane, 2013).

Moreover, the reforms are in line with Saudi Arabia's current commitments under WTO regulations and bilateral investment agreements, which set out the conditions for market access and the non-discriminatory treatment of foreign investors (Sornarajah, 2021). The updated Commercial Agency Law minimizes legal uncertainty by clarifying the registration, termination, and dispute-resolution mechanisms; however, it does not diminish the Kingdom's regulatory discretion. This is the two-fold success of the following: modernization without loss of sovereignty; a complex balancing act that deserves the close attention of scholars (Ballantyne, 1986).

The other aspect of the conceptual framing concerns the roles of legal culture and judicial capacity as mediators of reform outcomes. That even well-crafted laws cannot always have the desired impact unless the court system is up to speed on the new legislative provisions, the administrative agencies are receptive to change, or business sectors are not convinced that the law is closely followed (Foster, 2010). Therefore, the improvements in agency law reforms in Saudi Arabia are not solely reliant on the quality of statutory texts but also require complementing investments in judicial education, regulatory advice, and stakeholder involvement. This is where the role of an institutional lens that looks not only at what the law says but how it is being interpreted, applied, and experienced in practice becomes important (Cane & Kritzer, 2010).

1.1 Methodology and sources

This paper takes the form of a doctrinal legal research approach, which involves a systematic examination of primary legal texts, including Royal Decree No. M/11 of 1444H (2022-2023), which establishes regulations provided by the Ministry of Commerce and the provisions of some of its laws. The doctrinal method offers an opportunity to thoroughly explore the statutory text, its interpretation by the Saudi courts, and its alignment with accepted principles of commercial law (Reimann & Zimmermann, 2019). Comparative analysis is used to supplement the research, focusing on the UAE as a regional counterpart with a civil law system and the UK as an ordinary law jurisdiction with historically liberalized commercial systems. This two-fold comparison offers both regional and global benchmarking, enabling comparisons of Saudi reforms with legal traditions and regulatory philosophies from other regions (Beraudo, 2014).

Moreover, the paper combines a Shariah-grounded analytical approach, which explores the impacts and interactions of Islamic jurisprudence on contemporary commercial regulation. This includes an evaluation of the academic literature on

principles such as gharar and fasakh, their use in agency-related litigations, and their application in Saudi judicial practice (Nyazee, 1998). Lastly, the methodology also involves a secondary literature review, comprising peer-reviewed journal articles, practitioner comments, policy reports by agencies, including UNCTAD and OECD, and data from investment and arbitration centers. This three-pronged strategy will ensure that the research does not merely provide an interpretation of the legal texts but also places them in the broader economic, judicial, and policy frameworks (Cane & Kritzer, 2010).

To address the doctrinal and comparative analysis, we rely specifically on the theoretical perspectives presented in the Introduction. We read why particular characteristics (e.g., arbitration recognition, digital filing, compensation calibration) were chosen and how they will probably engage in a Shariah-grounded adjudicative culture through legal transplant and institutional-adaptation perspectives (Reimann & Zimmermann, 2019). This does not engage in only descriptive comparisons, but also establishes our empirical baselines in the FDI and registration arenas. The corpus of legal texts considered will cover the period 2018-2024 to ensure methodological transparency in the analyzed content: both pre-reform and post-reform practice are represented. Inclusion criteria included any circulars or ministerial directives publicly available on the Ministry of Commerce's digital portal, as well as secondary literature that provides interpretative background. The exclusion criteria included unpublished or inaccessible administrative guidance.

The doctrinal analysis is done at the level of the clauses, and where necessary, where the operative statutory text is quoted and interpreted in relation to the Shariah maxims (qawaa id fihiyyah) and comparative statutory analogies. It is specially noted how modern statutory provisions have been reconciled with the Shariah concepts of gharar (uncertainty), fasakh (rescission), *akl al-māl bil-bait* (unjust enrichment) by the Saudi courts (Hallaq, 2009). The comparative aspect examines purposive sampling under the UAE Commercial Agency Law (Federal Law No. 3 of 2022) and the UK Commercial Agents (Council Directive) Regulations 1993. The comparative assessment is based on a three-step rationale: (1) to determine the statutory parallels, (2) to analyze how it fits within local institutional constraints, and (3) to examine cross-system transferability (Beraudo, 2014). The theoretical framing is based on legal transplant and institutional adaptation theories, which explain how specific reforms were selectively borrowed and how they interact with the culture of adjudication under Shariah in Saudi Arabia. This enables the paper to go past description to explain how and why specific characteristics travel and succeed (Reimann & Zimmermann, 2019).

This same order of UAE and UK subsections is thus provided: market access and registration, termination and compensation, and dispute-resolution pathways, to allow a functional comparison between them. Throughout the paper, there has been a clear distinction between the two types of sources. The primary documents consulted are policy and practitioner documents (OECD, UNCTAD, law-firm reports, etc.), which are used to show recent practice, the administration's trends, and the market's perception of reforms. In comparison, the conceptual framing, doctrinal critique development, and the placement of the Saudi Arabian reform agenda within existing academic discourses are developed using scholarly sources, such as works on legal transplants, comparative legal practice, and Shariah-commercial jurisprudence (Foster, 2010).

The rigor of the method ensures that the study's findings are based on verifiable facts, theoretically informed, and practically relevant. The integration of accuracy into the doctrine, combined with comparative and Shariah analyses, makes the research a comprehensive assessment of commercial agency reforms in Saudi Arabia, which is both scholarly and policy-based (Cane & Kritzer, 2010).

1.2 Objectives

This research has fourfold objectives. First, it attempts to determine the organizational flaws of the Saudi Arabia pre-reform regime of commercial agency, particularly its statutory and institutional rigidity, its inefficiency, and its discouraging impact on investment. Second, it will examine the legal and Shariah-compliant characteristics of the 2022-2023 reforms, with a specific focus on the newly introduced registration, termination, and dispute-resolution provisions. Third, it draws a comparison between the reformed agency law of Saudi Arabia and the Federal Law No. 3 of 2022 in the UAE and the Commercial Agents (Council Directive) Regulations 1993 in the UK, which offers an insight into similarities, differences, and lessons of harmonization of laws on agency (Beraudo, 2014). Lastly, it measures the impact of such reforms on FDI and legal modernization and provides evidence-based recommendations to policymakers (Sornarajah, 2021).

In addition to these primary objectives, the research also aims to contribute to the theoretical literature on reconciling Shariah-based principles with worldwide systems of commercial law (Vogel & Hayes, 1998). In that way, it offers a delicate perspective on the study of legal reform in Islamic jurisdictions where cultural, religious, and economic goals converge. The study will also seek to educate policymakers, legal practitioners, and academicians on best practices for applying law reform in emerging markets (Otto, 2010). It helps fill the gap between theoretical notions and actual practice

by dissecting statutory provisions and judicial practices, and offering practical advice on modernizing the law (Cane & Kritzer, 2010).

Finally, the research aims to lay the groundwork for future empirical studies by identifying quantifiable measures, including dispute resolution, agency registrations, and investment flows, that can determine the continued effectiveness of these reforms. This will serve as a long-term evaluation roadmap to ensure that legal development aligns with both the Vision 2030 goals and global market expectations (Ramady, 2010). Although the research engages with economic indicators and policy implications, these factors serve as supporting background rather than equal pillars in the analysis. The fundamental area of the study is a doctrinal and comparative study of the 2022-2023 Commercial Agency Law reforms, its statutory interpretation, Shariah coherence, and systematic cross-jurisdictional benchmarking (Reimann & Zimmermann, 2019).

An important task is also to examine how the reforms strike a balance between conflicting interests. On the one hand, they have to safeguard the legitimate expectations and investments of the local agents who have been under the previous regime for decades (Ballantyne, 1986). Conversely, they have to establish adequate flexibility and predictability to be appealing to foreign principals who require modern, transparent, and enforceable contracts (Sornarajah, 2021). This balancing surgery is both a technical and legal issue and a socio-economic and political issue because it involves balancing domestic stakeholder interests and international market expectations (O'Kane, 2013).

In addition, the paper seeks to examine how digitalization can be applied to legal reform. The transformation of the manual registration system to fully digital platforms is a radical shift in the formalization and control of commercial relationships. The key to assessing the success of the overall reforms is understanding the implications of such a shift for administrative efficiency and transparency (Ramady, 2010).

Lastly, the research identifies potential areas for future reform. Although the amendments of 2022–2023 may be considered a significant step, there is no perfect or complete legal system. The research can be used in a continuous process of legal refinement and enhancement by establishing prevailing gaps, ambiguities, or areas of dispute (Foster, 2010). This is a forward-looking approach, making the study not only retrospective but also proactive, and providing guidance on the next steps in the legal development process in Saudi Arabia.

2. Pre-reform legal framework

Prior to the recent reforms, the commercial agency regulation in Saudi Arabia was mainly controlled by the Commercial Agency Law, which was passed by royal decree No. M/11 of 1382H (1962). This system was characteristic of the protectionist economic direction of the time and had extreme demands of localization. Commercial agents were to be solely Saudi nationals, or wholly owned by a local registered company registered with the Ministry of Commerce. Contracts signed with unregistered agents were not binding, and no rights were enforceable by the foreign principals (Ballantyne, 1986). Although this regime was meant to protect local commercial interests, it indirectly affected foreign investment, raising concerns about whether it would be enforced and whether it would be legally certain (O'Kane, 2013).

The pre-reform regime was accused of one of its most significant failings: granting excessive protection to agents, especially in contract dissolution and compensation. The statutory provisions, which prioritized the protection of agents while disregarding the autonomy of the contract, led courts to award compensation to agents in cases where term-based contracts had expired. As an illustration, judicial practice before the Board of Grievances showed a tendency to prioritize statutory protection over commercial principles, making the compensation process more uncertain and risky to litigate on behalf of foreign principals (Alzahrani, 2024). Academic commentators have noted that these interpretative trends are creating a sense of legal uncertainty rather than expressing a unified jurisprudential doctrine (Alayed et al., n.d.).

The law's inflexibility also inhibited flexibility in international business practices. The exclusivity was obligatory, and non-exclusive, regional, or sector-specific agency agreements were not allowed, as are generally employed in comparative jurisdictions (Beraudo, 2014). This framework gave rise to monopolistic behaviour and was incompatible with the new competition standards set out in Saudi competition policy (Alotaibi, 2021). The indefinite agency structure and punitive termination results were also questionable in terms of gharar (undue uncertainty) and unjust enrichment (akl al-m2al bilb2til), both of which are undesirable in Islamic commercial jurisprudence (El-Gamal, 2006; Nyazee, 1998).

Administrative inefficiencies exacerbated these shortcomings in the law. The registration processes were primarily submitted physically, and had long processing times with very little transparency (Ramady, 2010). This was further impaired by the lack of a centralized, publicly accessible registry of agency agreements, which impeded due diligence by foreign principals and weakened market transparency (O'Kane, 2013). Such bureaucratic hurdles were the cause of

Saudi Arabia's deteriorating performance in global ease-of-doing-business indices and of limitations on gaining access to the market.

The pre-reform method of dispute resolution was neither transparent nor efficient. Arbitration was not explicitly provided for in the law to apply to agency disputes. However, Saudi Arabia had ratified the New York Convention and even established arbitration institutions, including the Saudi Center of Commercial Arbitration. This confusion raised questions about the enforceability of arbitration provisions and deterred foreign entities from seeking alternative dispute resolution methods (Saleh, 1984; Al-Ramahi, 2008). Inconsistency among courts in interpreting statutory provisions also heightened investors' anxiety (Alayed et al., n.d.).

Exclusive agency practices were also economically associated with less competition and higher consumer prices because agents held monopolistic pricing power (Ramady, 2010). These results were not in line with the Kingdom's overall objectives to diversify its economy, attract foreign direct investment, and participate in global value chains (Sornarajah, 2021). As Saudi Arabia's economy became more mature, the protectionist rationale that underpinned the 1962 law increasingly conflicted with modern commercial realities, and the need to reform the legislation on a large scale became evident. The following reforms were aimed at addressing these structural deficiencies and harmonizing the statutory rules with the principles of the Shariah and the latest commercial practices.

3. The 2022–2023 reforms

These are the 2022-2023 reforms introduced by Royal Decree No. M/11 of 1444H (2022-2023) and recalibrate the agency law on four principal axes. To begin with, access to markets: nationality conditions are liberalized, subject to specified conditions that expand the scope of legal participation, but control is maintained through registration (O'Kane, 2013). One of the most probable aspects of interpretative ambiguity is the extent to which mixed-ownership participation is permissible and whether the indirect foreign ownership structure would fall within the scope of the reform. The courts can ask such questions in a purposeful manner that encourages an economic element and regulatory purpose, especially where Shariah-based aspects of justice and openness are involved (Hallaq, 2009).

Second, registration and renewal processes are entirely computerized through the Ministry of Commerce portal, which requires electronic filing and verifiable records, thereby reducing delays and the extent of obscurantism (Ramady, 2010). With electronically submitted documents records being the new norm, there can be conflict over the weight of evidence for such records and the legality of digitally authenticated documents. The judicial committees will therefore take into account the emerging e-transactions jurisprudence and administrative circulars to standardize admissibility and eliminate procedural uncertainty (Foster, 2010).

Third, control over contracts: grounds of termination (expiry, breach, mutual consent) and compensation norms are made explicit in a way that does not conflict with contractual autonomy and agent protection. The issues of what constitutes justified termination or commensurate compensation may fall into a grey area, particularly in long-term commercial relationships. These provisions are to be interpreted by Saudi courts through the application of proportionality analysis and Shariah teachings, such as gharar and fasakh, to ensure that compensation remains linked to verifiable harm rather than an automatic entitlement (El-Gamal, 2006; Nyazee, 1998).

Fourth, dispute resolution: dispute resolution approaches are explicitly acknowledged (such as resorting to the SCCA and international rules), thereby expanding both the scope of forum selection and the enforcement options (Saleh, 1984). Concerns about the scope of arbitrability can also arise, as can issues regarding the application and enforcement of foreign arbitral awards in instances involving public policy or Shariah issues. Cases The trend of recent years towards aligning domestic law with international norms is also expected to be reflected in judicial interpretation, without forfeiting fundamental doctrinal restraints on unconscionable or excessively uncertain contractual terms (Al-Ramahi, 2008; Yasin, 2012).

All these actions are basically aimed at seeking predictability and transparency without altering a Shariah-compatible floor (Hallaq, 2009). The integration of compliance monitoring mechanisms is another interesting development that requires periodic reporting by registered agents and principals. This invention increases accountability and provides the Ministry with data-driven supervisory features that will improve the implementation of the law and foster a transparent market (Ramady, 2010).

Lastly, the reforms have also focused on capacity-building measures, such as training legal practitioners and judges on the implementation of the new law (Foster, 2010). These programs are essential to maintaining uniform interpretation of the reformed statutes and to building institutional competence required to sustain legal modernization. The computerization

of the registration processes is one of the most important changes. The new system requires that all contracts between agencies be registered electronically through the Ministry of Commerce's online portal. It is a system that enables real-time monitoring of application status, automated verification of documentation, and safe storage of contracts in a central database (O'Kane, 2013). Search is also made possible through the digital platform, where interested parties can determine whether agency agreements exist for specific products or market segments, thereby reducing information asymmetry that creates due diligence challenges (Ramady, 2010).

Another significant change is the elucidation of the grounds of termination. The restructured legislation explicitly provides for justifiable grounds for termination, comprising contract expiry, material breach, mutual consent, and force majeure. Such codification reduces the discretion of judicial bodies and provides contracting parties with more precise instructions regarding their rights and duties. Furthermore, under the law, proportionality is applied to compensation claims: compensation can be proportional only to actual damages incurred and cannot be punitive in the absence of egregious misconduct (Beraudo, 2014).

The establishment of arbitration as an acceptable dispute-resolution tool marks a paradigm shift. The reformed law in Article 14 expressly allows parties to incorporate arbitration clauses into their agency agreement and to accept the jurisdiction of the SCCA and other endorsed arbitral institutions (Saleh, 1984). This clause complies with international commercial practice, and the Kingdom shows interest in offering a variety of effective methods for resolving disputes (Al-Ramahi, 2008). The express indication of arbitration also covers past issues of enforceability, thereby minimizing legal ambiguities and encouraging foreign principals to invest more confidently in the Saudi market (Yasin, 2012).

The loosening of nationality requirements, albeit with certain limitations, introduces new opportunities for the foreign specifications of agency relations (Sornarajah, 2021). Under the new legislation, there are now categories of foreign-owned entities that can become registered agents, provided they meet the outlined requirements regarding capital investment, operational capacity, and regulatory compliance. This selective liberalization widens the range of possible agents, increases competition, and offers foreign principals greater choices about how to enter the market and distribute (O'Kane, 2013).

However, the reforms are well-balanced, carrying out liberalization while preserving genuine agent interests. The law still contains clauses requiring good-faith negotiation, fair dealing, and reasonable notice of termination. It also maintains agents' rights to compensation in cases of termination other than for failing to act in good faith or for actions by the principals that diminish the agency relationship. This balance represents a high level of knowledge of the necessity of impressing foreign investors, as well as of preserving social and economic stability by securing old business relations (Vogel & Hayes, 1998).

The compliance monitoring mechanisms are incorporated, and this element of regulatory control has added another dimension. Registered agents and principals are now required to file regular reports on their commercial operations, sales volumes, experience in dispute resolution, and any significant alterations to the agency relationship (Ramady, 2010). This information helps the Ministry of Commerce track market dynamics, identify trends in non-adherence, and take proactive measures to eliminate potential conflicts or anti-competitive behavior. These reporting requirements also benefit market participants by increasing the amount of available information about the business environment (Foster, 2010).

Capacity-building programs are an addition to the statutory reforms that target institutional issues in implementation. With the support of legal and commercial institutions, the Ministry of Commerce has initiated training on the implementation and interpretation of the new law for judges, arbitrators, lawyers, and business individuals (Cane & Kritzer, 2010). These courses include digital evidence, Shariah-compliant contract interpretation, international arbitration, and comparative commercial law. The reforms also aim to ensure that the legal infrastructure is well-positioned to support the new statutory framework by investing in human capital development (Foster, 2010).

The reformed law also includes transitory provisions to address the transition from the old regime to the new one. The current agency contracts registered under the old law remain valid, provided they comply with the latest reporting and registration requirements within the specified time frames. Contract parties are urged to renegotiate under the new law to comply with its provisions. However, the legacy provisions can still be enforced in areas where they do not interfere with the compulsory regulations in the new law. This intermediate solution aims to reduce the impact and promote a gradual pace of adaptation to the latest legal norms (Beraudo, 2014).

4. Comparative analysis

In an attempt to put Saudi Arabia's reforms into context, this paper will conduct a comparative study of two jurisdictions: the United Arab Emirates (UAE) and the United Kingdom (UK). The UAE was chosen based on its geographic

proximity, its status as a GCC member, and its comparable past dependence on protectionist agency regimes. Its 2022 reforms provide an appropriate basis for evaluating regional legal harmonization and divergence. In contrast, the UK, with a common law tradition and a liberalized market, provides a different example that emphasizes the freedom of contract and a low role for the state. This two-way focus enables one to conduct intra-regional benchmarking and align with the global market (Klein, 2022).

This comparative analysis is systematic, utilising a three-dimensional framework to ensure methodological clarity and functional equivalence across jurisdictions. First, we examine how the registration and market-access rules are handled in a regulatory context, as they establish the legal bar to entry for an agency. Second, we compare termination and compensation systems regarding their relative merits in providing contractual freedom and safeguarding the agent. Third, we evaluate the design of dispute resolution, especially the accessibility and enforceability of arbitration compared with court-based options. The comparison, organised around these three vectors, would enable the similarities and differences between the UAE and UK regimes to be evaluated systematically and directly in relation to the characteristics of the Saudi reforms.

The Federal Law No. 3 of 2022 in the UAE is an example of how the civil law system can be flexible, enabling agency regulations to adapt without abandoning localized protection. Sharing similarities with Article 4, but also providing flexibilities in termination under Article 9, such as minimum restrictions on long-established foreign corporations and single-stock companies, this law retains the exclusive rights of agents. It is interesting to note that Article 12 expressly mentions arbitration, reflecting the adoption of ADR in Saudi Arabia and suggesting a regional trend toward adjudication-friendly practices (AlSuwaidi, 2022). Nevertheless, the enduring nationality of agents suggests that the UAE is pursuing a veiled liberalization approach rather than the expansive liberalization in Saudi Arabia.

The UK regime, which follows the Commercial Agents (Council Directive) Regulations 1993, adopts a different philosophy based on the principles of EU Directive 86/653/EEC. UK legislation gives greater importance to the freedom of contract, with fewer registration requirements and lax termination conditions, but also provides indemnity or compensation under Regulation 17 to terminated agents. Case law such as *Lonsdale v. Howard & Hallam Ltd* [2007] UKHL 32 delivers information on how balancing agent protection and the liberalism of the market, which guided the court in this case, can provide insight to the Saudi policymakers, who want to find a balance between statutory regulation and free market (Bird & Bird, 2020).

Hybridization can be observed in reforms in Saudi Arabia: protection for agents similar to those in the UAE is applied alongside UK-style arbitration acceptance and termination flexibility. This selective adoption implies purposeful conformity with international standards without violating Shariah principles. The incorporation of features from both systems can make Saudi Arabia a legally advanced jurisdiction that attracts foreign investment while preserving its cultural and legal identity. Future research may examine harmonization across the GCC, developing these bilateral comparisons into a regionally integrated, yet globally competitive, commercial law (OECD, 2023). Moreover, the analysis of case studies in both the UAE and the UK helps understand how reforms in the field of law are changing across various institutional settings. The gradual changes in the UAE underscore the importance of gradual liberalization as a way to reduce the intensity of stakeholder opposition, whereas the adoption of judicial influence in the UK points to courts as the formers of commercial agency norms (KPMG, 2023).

A different applicable area is the divergent dispute settlement models. The hybrid model offered by the integrated arbitration provisions of the UAE and ministerial supervision is compared with the UK, which offers the separation of judicial enforcement of the agency's rights. This comparison provides insight into Saudi Arabia's efforts to establish a balance between administrative regulation and judicial independence (Bird & Bird, 2020). Further, the experience of the UK, where the agency principles derived under the EU were retained post-Brexit, indicates the endurance of legal regimes despite political change, which is encouraging to investors and sends a message of resilience in the face of external shocks (Klein, 2022). This stability would guide Saudi Arabia's future reforms in the event of a policy change. Lastly, the combination of these comparative lessons helps to better understand the process of hybridization in Saudi Arabia and how the selective incorporation of the features of the two systems, like adjudication mechanisms in the UAE and contract freedoms in the UK, can be used to create a reform model that is locally-oriented and competitive on the international level.

Why these features? A political-economic interpretation of selective borrowing. Saudi decisions are guided by a pragmatic calculus of the 2030 Vision. Arbitration recognition and digital registration are inexpensive, high signal reforms, which decrease frictions in transactions and are a credible commitment to enforce contracts, as is expected by foreign investors. In comparison, domestically accommodating stakeholders by retaining calibrated agent protections,

especially compensation in situations of unjustified termination, is in line with domestic stakeholder accommodation in incumbent distributors and SMEs that prioritize relational stability. The outcome is hybridization, where KSA takes the predictability apparatus (registries, more explicit termination rules, ADR) of liberal systems but maintains stability devices known to regional practice. This choice also helps minimize the risk of transplant failure by aligning imported mechanisms with adjudicatory capacity and Shariah-based legitimacy. Judicial art and regulatory advice will play a significant role in converting the borrowed elements into a permanent practice.

4.1 Comparative framework: Contextual adaptation and legal alignment

Contextual adjustment rather than wholesale transplants characterizes the commercial agency law reform process in Saudi Arabia. The modernization of the framework has been carried out by Saudi policymakers, using mechanisms that enhance efficiency, predictability, and transparency without affecting the Kingdom's overall consistency with its legal traditions and Shariah-based principles. These reforms were not borrowed but developed internally and contextualized in line with regional and international experience to be compatible with national priorities and institutional realities. This sentiment echoes the comparative law theory of functional adaptation, which focuses on reforms with a higher success rate when they are tuned to local legal culture, institutional capacity, and normative values. The example of Saudi Arabia shows that successful modernization can be developed within the country's boundaries, relying on comparative knowledge only as a reference, not as a pattern. This has been guided by the principle of enhancing legal clarity and procedural coherence within a framework grounded in Saudi Arabia's jurisprudential identity.

In comparison, the model of the Kingdom emphasizes that it is possible to balance domestic goals with international standards in a way that does not violate autonomy but guarantees long-term reform. To illustrate, as other jurisdictions can stress the liberalization of contracts or administrative independence, reforms in Saudi Arabia are oriented towards being structurally predictable, digitally governed, and expanding dispute-resolution strategies in line with national judicial development. The balance achieved explains how the reform may advance modernization objectives without undermining the integrity of the domestic legal system. The analytical construct used in this comparison is therefore based on three principal vectors: 1. Institutional Fit: it is necessary to make sure that regulatory innovations fit in the administrative and judicial capabilities of the Kingdom. 2. Doctrinal Compatibility: complete consistency with Shariah and national law doctrine, and in improving the clarity and predictability of enforcement. 3. Sustainability and Vision 2030 Alignment: entrenching the reforms in the long-term strategic goals of the economic diversification, legal transparency, and good governance.

Overall, the reforms of the Commercial Agency Law in Saudi Arabia are an example of a distinctively moderate modernization process that selectively relies on comparative experience to benchmark, but which is rooted squarely in national legal reasoning, Shariah legitimacy, and institutional continuity. Let us see now this table: Old vs. New Regime Comparison (Illustrative Case).

Topic	Pre-Reform Provision (1962 Law)	Reformed Provision (2022–2023 Law)	Doctrinal/Practical Effect
Registration	Limited to Saudi nationals only; manual filing required	Allows certain mixed-ownership entities; fully digital registration	Broadens participation; reduces administrative delay
Termination	Vague criteria; heavy bias toward agent compensation	Explicit grounds: expiry, breach, mutual consent; defined compensation	Aligns with fasakh and gharar doctrines; enhances predictability
Dispute Resolution	Courts only; arbitration not recognized	Arbitration expressly permitted (Art. 14); SCCA included	Introduces enforceable ADR aligned with Vision 2030
Transparency	No public registry	Online registry with periodic compliance reporting	Promotes oversight and market trust

5. Impact on Foreign Direct Investment (FDI)

It is expected that the reform of the Saudi Arabia Commercial Agency Law will substantially transform the investment environment by minimizing past obstacles and serve as an indicator of regulatory reform. First, greater investor confidence can be achieved through stronger statutory provisions, such as transparent registration (Article 7) and termination (Article 10) rules, which eliminate the perceived legal uncertainty that is one of the main deterrents cited in investment reports (Sornarajah, 2021).

Second, now, foreign principals have more strategic choices to enter the market through the introduction of flexible agency arrangements, such as non-exclusive and sector-specific arrangements (O'Kane, 2013). The initial signs of the reforms already affecting investment decisions are the entry of global pharmaceutical and automotive companies into the market (Ramady, 2010).

Third, arbitration (Article 14) has enhanced predictability in dispute settlement, encouraging cross-border investment by providing greater certainty about the enforceability of contracts (Al-Ramahi, 2008; Saleh, 1984). Also, alignment with Saudi Arabia's bilateral investment treaties (BITs) and WTO obligations strengthens legal compliance with international trade standards, thereby lowering perceived sovereign risk (Sornarajah, 2021). These alignments make Saudi Arabia competitive as a GCC state and emerging market in the quest to attract high-value FDI (Ballantyne, 1986).

It should be stressed that the numerical variables provide the picture of correlation, not causation. Although the initial signs indicate an increase in investor sentiment, these changes can only be interpreted as part of a larger set of Vision 2030 reforms, such as the liberalization of macroeconomic policies, the simplification of regulations, and the encouragement of industry-specific investments (Ramady, 2010). In this connection, the agency law reforms are situated within a broader reform context rather than as a unique or determining factor in FDI performance.

Finally, such reforms indirectly strengthen competition at home. With a decline in agency exclusivity, principals could encourage performance-based representation, thereby increasing efficiency in the distribution network (Alotaibi, 2022). Although encouraging, the long-term effect of FDI will remain unstable unless judicial enforcement, transparency in administration, and perceptions towards investors are maintained (Foster, 2010). This highlights the importance of longitudinal information and further empirical assessment of the reform efficacy in the dynamic legal-economic environment in Saudi Arabia (Cane & Kritzer, 2010).

The psychological aspect of investor confidence cannot be underrated. When foreign investors are making decisions, they usually consider not the formal legal framework but the perception of legal predictability and enforceability (Sornarajah, 2021). Comprehensive legal reform, especially in the areas of digitalization and arbitration recognition, and in accordance with international standards, has symbolic value that can be more significant than the substantive provisions themselves (Khan, 2010). Saudi Arabia can improve its image as a serious, reliable, and forward-looking investment destination by demonstrating its commitment to modernizing the law (Ramady, 2010).

Besides, the reforms promote more advanced market-entry strategies. In the past, foreign principals could do little more than appoint a single exclusive agent who served the entire Saudi market, which was frequently inefficient due to the Kingdom's extensive geographical coverage and diverse regional markets (O'Kane, 2013). The opportunity to have multiple non-exclusive agents or agents in specific sectors would provide a broader range of distribution policies, a more comprehensive market, and more competition among agents, all of which are beneficial to both the principal and the consumer (Beraudo, 2014).

Arbitration clauses are vital for FDI. International investors usually prefer arbitration over local court litigation for the following reasons: it is neutral, confidential, expert, and enforceable under the New York Convention (Saleh, 1984; Yasin, 2012). The explicit acknowledgment and creation of avenues for arbitration enable Saudi Arabia to eliminate one of the most significant impediments to foreign investment and put the country on par with international best practices in commercial dispute resolution (Al-Ramahi, 2008).

Moreover, aligning the reforms with WTO requirements and bilateral investment treaties minimizes political risk. International law provides investors with the expectation of additional protection through domestic remedies, enabling the establishment of several layers of legal protection (Sornarajah, 2021). This host protection system is especially appealing to risk-averse institutional investors, including pension funds and sovereign wealth funds, who are demanding high levels of legal certainty before investing institutionally in emerging markets (Khan, 2010).

The competition that the reforms brought about is also worth considering. The reforms introduce market pressures that encourage agents to improve the quality and reduce the cost of their services and to develop innovative distribution methods (Alotaibi, 2022). This competition advantage not only benefits foreign principals but also Saudi consumers, who can enjoy a broader range of products at more competitive prices. The resulting efficiency will contribute to higher consumer welfare, market dynamism, and allocative efficiency (Ramady, 2010).

6. Challenges and future directions

Despite the considerable changes proposed by the 2022-2023 reforms, several issues may affect their future effectiveness. To begin with, it requires proper implementation, with the judicial application consistent throughout. Inconsistency in

judicial experience and understanding of commercial law can lead to different interpretations of the new provisions, causing uncertainty for investors (Foster, 2010). These risks may be reduced by providing targeted judicial education and by establishing commercial courts that ensure uniformity in judgments (Cane & Kritzer, 2010).

Second, another challenge is the ingrained opposition of the institutional commercial agents. Reforms might be opposed by many long-term agents who will sue or lobby politically (O'Kane, 2013). Law transition studies have shown that this boxing may slow the results of reform unless it is accompanied by a well-developed stakeholder engagement and transitional support systems (Sfeir, 2007).

Third, the more thorough incorporation of arbitration into the framework of commercial dispute resolution provokes the cultural and doctrinal issues. Although this increased caseload is encouraging, doubts remain about the enforcement of foreign arbitral awards, especially those inconsistent with public policy or Shariah (Saleh, 1984). It would help establish stronger judicial precedents on such matters and make Saudi Arabia a more favorable destination for arbitration (Al-Ramahi, 2008; Yasin, 2012).

Also, business guidance is not fully available. The lack of standardized model contracts and authoritative commentary regarding the new law puts parties in the position of making interpretive mistakes and drafting flaws (Beraudo, 2014). Guidelines and explanatory notes from the Ministry of Commerce should also be published to encourage compliance and minimize the number of disputes arising from contract uncertainties (Foster, 2010).

Lastly, regional integration by the GCC is both a challenge and an opportunity. Cross-border investment strategies are complicated by divergent commercial agency laws among GCC members (Ballantyne, 1986). Jurisdictional amphetamines would create a common market in the region, enhancing global competitiveness for Gulf trade (Ramady, 2010). The leadership role of Saudi Arabia in this respect would make it a potential instigator of overall legal integration in the region (Otto, 2010).

Overall, these issues will be tackled through long-term institutional investment, building judicial capacity, and stakeholder dialogue, along with continuous policy improvement to ensure that the reforms have a transformative effect. In addition, the need to increase legal practitioners' training, especially those operating in non-commercial hubs, is pressing to ensure that law reform is applied uniformly in the Kingdom (Cane & Kritzer, 2010). The absence of such initiatives means that interpretation differences might lead to a lack of investor confidence and regional differences in enforcement (Foster, 2010).

Further, the government should focus on campaigns to raise awareness among the population to advise businesses (particularly SMEs) of their rights and responsibilities under the new law (O'Kane, 2013). Easy-to-understand materials can also bridge knowledge gaps and address inadvertent non-compliance, making the reforms overall more effective (Ramady, 2010).

6.1 Judicial reconciliation with Shariah doctrines

Saudi adjudication has long mediated commercial change by Shariah-based methods. Three of them are particularly relevant to agency-related disputes: (1) gharar (excessive uncertainty) – courts police indefinite obligations and open-ended penalties; (2) fasakh (rescission) – equitable unwinding in case of defects that hinder the lawful purpose of the contract; and (3) *akl al-maal bil-batail* (unjust enrichment) – limits windfall compensation in case of defects that are not the purpose of the contract (Hallaq, 2009; Nyazee, 1998).

Under the reformed law, we anticipate no conflict but rather harmonizing moves: we permit judges to apply purposive reasoning (*maqsimad al-sharik*) and proportionality to relate termination and compensation clauses, thereby avoiding oppressive results without compromising the predictability of the statute (El-Gamal, 2006). The prospect of such harmonization leads to drafting (clarity of scopes/terms), disclosures of registration, and liquidated damages based on verifiable metrics, which reduce the risk of litigation in a Shariah-consistent way (Vogel & Hayes, 1998).

The three doctrines map to recurring contractual problems in agency arrangements. Specifically, the doctrine of gharar applies to contracts of indefinite nature, where there is no end, open obligations, and performance limits defined in a vague manner (El-Gamal, 2006). The reason is that courts have traditionally restricted compensation claims when the agency terms underlying the claim posed too much uncertainty. Fasakh doctrine is most frequently used in cases of material defects, performance failure, or failure of a contract to fulfill its purpose in accordance with the law, providing an opportunity to unwind the agreement on equitable terms that do not imply punitive action (Nyazee, 1998). *Akl al-maal bil-batail* (unjust enrichment) is, in the meantime, implicated in agency contracts that include punitive liquidated damages,

unreasonable compensation, or exclusivity deals that provide windfall benefits without any reasonable business explanation (Hallaq, 2009).

The debate of judicial reasoning is based on two levels of analysis. To begin with, there is already documented experience of Saudi judges using proportionality and uncertainty-driven reasoning to trim excessive claims, even in the context of contractual ambiguity combined with Shariah maxims (Alzahrani, 2024). Second, our anticipations about the use of the reformed statutory provisions are prospective and based on perceived patterns of adjudication, rather than claimed empirical certainties (Foster, 2010). Since the post-2022 regime is still in its early stages, these forecasts should be treated as analytical possibilities derived from the existing doctrinal toolkit of the Saudi courts rather than forecasts (Hallaq, 2009).

The other significant problem is integrating technology-backed compliance tools. Digitization has simplified the registration process, but more sophisticated systems for monitoring and tracking disputes during contract execution might enhance transparency and reduce administrative work (Ramady, 2010). Arbitral awards should also be enforced across borders. Saudi Arabia has signed the New York Convention, but specific opposition to enforcement based on Shariah remains (Saleh, 1984). To ensure that Saudi Arabia remains viewed as an arbitration-friendly jurisdiction, establishing stable rules for such reviews will be essential (Al-Ramahi, 2008; Yasin, 2012).

In addition, engaging with foreign chambers of commerce and investor councils may provide policymakers with effective feedback on the challenges of reform implementation and good practices, thereby establishing a responsive policy environment (Sornarajah, 2021). The reforms also require greater cooperation with academic institutions to produce empirical studies of judicial trends, their effects on investments, and industry-specific effects (Cane & Kritzer, 2010). There will be a need for data-driven policy making to achieve refinements and long-term success (Foster, 2010).

Lastly, incorporating such legal changes into broader regional economic projects, such as GCC market harmonization and free trade agreements, would not only strengthen the Saudi Arabian legal system but also increase the overall competitiveness of the GCC region in the eyes of international capital (Ballantyne, 1986; Ramady, 2010). These interpretation channels, combined with the principles of *fiqh al-muqamanalat*, which focus on clarity, fairness, and balance in commercial transactions, and the larger *maqashid al-shari'ah*, that is, the protection of wealth, the avoidance of harm, and the upholding of contractual justice (Vogel & Hayes, 1998). By pegging judicial expectations to these solid juristic structures, it is possible to ensure that statutory reforms develop coherently within the normative tradition of Saudi Arabia and provide predictability to contemporary commercial practice (Hallaq, 2009; Nyazee, 1998).

7. Conclusion

The 2022-2023 changes to the Saudi Arabia Commercial Agency Law were a historic legislative change in the Kingdom that will make domestic regulations and global trade standards consistent, while the core shall remain Shariah-compliant. These reforms break the century-old protectionist barriers, improve investor confidence through more transparent rules and electronicized processes, and boost dispute-resolution systems by formally recognizing arbitration (Al-Ramahi, 2008; Saleh, 1984). Each of them is an indicator of a more drastic move towards an open, predictable, and investment-friendly business climate in line with Vision 2030 (Ramady, 2010).

As noted earlier in this paper, the pre-reform regime was concerned with protecting local agents, yet it unintentionally restricted market entry and hindered FDI (O'Kane, 2013). Saudi Arabia has shown its interest in legal modernization and economic diversification by acknowledging reforms that align the rights of agents with contract autonomy and best practices worldwide (Sornarajah, 2021). Although the reforms reinforce the doctrinal framework of agency law and align the statutory mechanisms with international best practices, the overall economic implications should be considered with a grain of salt. The first signs of a better investor attitude are indicative but not definitive since several Vision 2030 projects are running in tandem (Ramady, 2010). In this regard, the role of the reform in investor confidence should be viewed as a supportive factor among the many parallel legal and economic trends.

The comparative analysis of the UAE and the UK points to a hybrid nature in Saudi Arabia, where it selectively adopts liberalizing attributes while retaining its legal identity grounded in Islamic principles (Hallaq, 2009; Otto, 2010). However, practical judicial interpretation, inter-regional consistency, strong regulation, and ongoing consultations with the stakeholders will ensure the successful implementation of these reforms (Foster, 2010). The issue of implementation, including judicial training to counter entrenched agents, will play a central role in solidifying the reform's returns and creating a transparent and competitive commercial market (Cane & Kritzer, 2010).

The empirical conclusions in the paper are speculative. The changing investment environment in Saudi Arabia is due to several simultaneous reforms, and amendments to the agency law are only one strand of the broader changes underway

(Ramady, 2010). The trends observed must thus be viewed as early warning signs other than hard evidence of causal effect.

To sum up, the commercial agency reform system in Saudi Arabia not only reinforces the local legal framework but also enhances its appeal as a commercial and investment destination within the region. The assertions about Saudi Arabia's development as a regional business center must thus be viewed as informed speculation based on the legal path rather than conclusive empirical evidence. These expectations may be justified by the observable correlation between the reforms and the chosen investment indicators, but additional time-series data are needed to determine causality (Cane & Kritzer, 2010). Future studies on investor behavior, the consequences of contract enforcement, and industry-specific patterns of dispute resolution will play a crucial role in confirming the long-term impacts of the reforms on FDI (Sornarajah, 2021).

The following study should be an empirical investigation of the economic consequences of the reforms, long-held investor attitudes, and prospects for legal harmonization across the GCC (Ballantyne, 1986). The Kingdom can serve as a valuable example of how to combine contemporary commercial law with Shariah within the global legal system by maintaining momentum in legal reform and keeping pace with international standards (Hallaq, 2009; Vogel & Hayes, 1998).

Besides, such reforms serve as an example for other emerging markets that struggle to harmonize local legal traditions with the demands of international trade (Otto, 2010). Researching the experience in Saudi Arabia, other policymakers can learn how to sequence reform, involve stakeholders, and introduce legal predictability into culturally based legal frameworks (Reimann & Zimmermann, 2019).

The findings of this analysis also emphasize the need for repeated evaluation. Empirical research on judicial rulings, the rate of contract enforcement, and indicators of investor reaction will play a critical role in determining the effectiveness of reforms and in applying fine-tuning measures as they mature (Foster, 2010). Moreover, the courtship between governmental organizations, non-governmental parties, and scholars should be maintained to create an informed, evidence-based future of legal innovations (Cane & Kritzer, 2010). This will make reform benefits broadly known and applied across all economic sectors.

Finally, embed these reforms within a broader regional integration framework to enhance their effectiveness. It is possible to improve the state's legal and business competitiveness by supporting the harmonization of agency legislation across the GCC and by cooperating with neighbors to facilitate the ambitions of Vision 2030 programs (Ramady, 2010).

8. Policy recommendation summary

Cluster 1 — Judicial & institutional capacity.

(a) Specialized training for commercial judges and neutrals on termination standards, compensation calibration, and arbitral-award enforcement in a *Shariah* context.

(b) Curated **guidance notes** (benchbooks, circulars) to standardize interpretation and reduce regional variability.

Cluster 2 — Regulatory transparency & compliance tooling.

(a) Public **model clauses/contracts** for common agency forms (exclusive/non-exclusive; sectoral variants), annotated for *Shariah* compatibility.

(b) A dashboard within the Ministry's portal offering renewal alerts, standardized termination notices, and anonymized dispute statistics for market transparency.

Cluster 3 — Regional harmonization & investor engagement.

(a) GCC-level dialogue on registration interoperability, minimum termination standards, and recognition of ADR outcomes.

(b) Periodic consultation with foreign and domestic investors to iterate guidance based on frictions encountered in contracting and enforcement.

These clusters derive directly from the doctrinal and comparative analysis: predictable adjudication (Cluster 1) gives effect to the statutory design; transparent tooling (Cluster 2) reduces transaction costs; regional convergence (Cluster 3) scales investor certainty across the Gulf.

Data availability statement

No data is associated with this article. No new proprietary dataset was generated for this study. All numerical indicators and empirical references are drawn from publicly available official reports issued by the General Authority for Statistics, the Ministry of Commerce, the Saudi Center for Commercial Arbitration (SCCA), and the World Bank.

Extended data

A full list of quantitative indicators, including exact years and sources, is provided in Appendix A1. Extended data, including Appendix A1 containing all numerical indicators and their sources, are openly available on Figshare at: <https://doi.org/10.6084/m9.figshare.30740285.v1> (Alotaibi, 2025).

Data are available under the terms of the [Creative Commons Attribution 4.0 International License](#) (CC BY 4.0).

Acknowledgement

The authors extend their appreciation to Umm Al-Qura University, Saudi Arabia for funding this research work through grant number: 25UQU4350008GSSR01.

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Open Peer Review

Current Peer Review Status:    

Version 3

Reviewer Report 28 December 2025

<https://doi.org/10.5256/f1000research.192338.r438279>

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Mohamad Hidayat Muhtar 

¹ Universitas Negeri Gorontalo, Gorontalo, Indonesia

² Universitas Negeri Gorontalo, Gorontalo, Indonesia

I have carefully reviewed the revised manuscript and the authors' detailed point-by-point response. In my view, the revisions directly and substantively address the concerns raised in my initial report. The exposition has been tightened, with reduced repetition around the themes of digitisation, arbitration, and the shift toward party autonomy, and the argument now progresses more clearly across the sections. The literature base has been strengthened through the incorporation of additional academic work on agency law, distributorship, legal transplants, and Middle Eastern commercial law, so that practitioner and policy materials are now used primarily for contextualisation rather than for conceptual support. The methodological underpinnings of the comparative design have been clarified: the rationale for selecting the UAE and the UK as comparator jurisdictions is now explicit, and the axes along which the comparison is operationalised are clearly set out.

The revised Section 1.1 now functions more transparently as a methods subsection. It specifies the principal statutes and regulations examined, explains how administrative circulars were identified, and clarifies that the case-law discussion is illustrative rather than exhaustive. This significantly improves methodological transparency and replicability. The treatment of quantitative indicators has also been refined. The authors have moderated the causal language associated with FDI, registration, and business-environment metrics, situating any observed improvements within the broader context of concurrent Vision 2030 reforms and macroeconomic developments. An appendix table documenting each indicator, with year, value, and precise source, together with a corrected data-availability statement, brings the empirical component to an acceptable standard of transparency.

Overall, the conclusions regarding doctrinal and institutional change remain well grounded in the statutory and comparative analysis, while broader claims about economic impact and investor behaviour have been appropriately reframed as cautious expectations or hypotheses for future empirical testing.

Taken together, these revisions materially enhance the clarity, methodological robustness, and balance of the article. I am satisfied that the manuscript now meets the scientific and scholarly standards required for indexing and I have no further substantive comments.

Competing Interests: No competing interests were disclosed.

Reviewer Expertise: Legal Reform, Legal Research Methodology; Evidence-Based Policy Development, comparative law, commercial law

I confirm that I have read this submission and believe that I have an appropriate level of expertise to confirm that it is of an acceptable scientific standard.

Reviewer Report 10 December 2025

<https://doi.org/10.5256/f1000research.192338.r438278>

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Sabri Boubaker

¹ EM Normandie Business School, Métis Lab, Caen, France

² EM Normandie Business School, Métis Lab, Caen, France

I am happy with the current version of the paper.

Competing Interests: No competing interests were disclosed.

Reviewer Expertise: Management and finance

I confirm that I have read this submission and believe that I have an appropriate level of expertise to confirm that it is of an acceptable scientific standard.

Version 2

Reviewer Report 02 December 2025

<https://doi.org/10.5256/f1000research.191347.r433824>

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Farhaan Wali

¹ Bangor University, Bangor, UK

² Bangor University, Bangor, UK

³ Bangor University, Bangor, UK

I am happy with the amendments undertaken, as they enhance the scope and methodological foundation of the article.

Competing Interests: No competing interests were disclosed.

Reviewer Expertise: Islamic Studies, Islam in Britain, Islamism and radicalisation.

I confirm that I have read this submission and believe that I have an appropriate level of expertise to confirm that it is of an acceptable scientific standard.

Reviewer Report 02 December 2025

<https://doi.org/10.5256/f1000research.191347.r433825>

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Alija Avdukic 

¹ University of Dundee, Dundee, UK

² University of Dundee, Dundee, UK

³ University of Dundee, Dundee, UK

Many thanks for revising your manuscript. I have no further comments. Best wishes.

Competing Interests: No competing interests were disclosed.

Reviewer Expertise: Political economy and Islamic Finance.

I confirm that I have read this submission and believe that I have an appropriate level of expertise to confirm that it is of an acceptable scientific standard.

Reviewer Report 25 November 2025

<https://doi.org/10.5256/f1000research.191347.r434666>

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Mohamad Hidayat Muhtar 

¹ Universitas Negeri Gorontalo, Gorontalo, Indonesia

² Universitas Negeri Gorontalo, Gorontalo, Indonesia

³ Universitas Negeri Gorontalo, Gorontalo, Indonesia

This article charts the recent reform of Saudi Arabian agency and distribution law and places those changes against a wider comparative and law-and-development background. The authors explain how the new statutory regime restructures registration, relaxes nationality requirements, clarifies termination and compensation, and incorporates greater scope for arbitration. The narrative links these developments to Vision 2030 and to ambitions for Saudi Arabia to function as a regional hub for commercial intermediation. A conceptual framing based on legal transplants, institutional adaptation, and Sharia-based principles such as gharar, fasakh and protection against unjust enrichment underpins the argument. Comparative references to UAE and UK law are used to illustrate possible models and to highlight the distinctiveness of the Saudi pathway.

The exposition is generally clear and the paper is well organised into background, pre-reform framework, description of the new regime, comparative analysis and policy implications. The conceptual section and the Sharia discussion give the work an intellectual backbone that distinguishes it from purely descriptive practitioner pieces. Some tightening would still help. Themes such as digitisation of registration, expansion of arbitration, and the shift from rigid mandatory rules to more flexible party autonomy appear in several sections with similar wording and limited new insight. Streamlining those passages and using sharper signposting of what each section adds would make the central line of argument easier to follow and would remove a lingering sense of repetition. The literature base is adequate and reasonably up-to-date, although reliance on policy reports and law-firm memoranda is relatively high. Incorporating more academic work on agency and distributorship, legal transplants, and Middle Eastern commercial law would situate the contribution more firmly within existing scholarship and not only within policy debate.

The study design is appropriate for the questions posed. A doctrinal and comparative approach suits an inquiry into how statutory reform restructures commercial relationships and how that reform interacts with Sharia and investment policy. The choice of UAE and UK law as comparators is defensible: one offers a nearby civil-law and regional benchmark, the other a liberal common-law reference point attractive to foreign investors. The way in which the article draws out convergence and divergence across these systems is generally persuasive, and the hybrid character of the Saudi reform is convincingly described. That said, the reasoning behind comparator selection remains somewhat implicit. A compact methodological explanation of why these two jurisdictions were chosen over others in the region or beyond, and how the comparison was operationalised, would anchor the design more firmly.

Methodological transparency and replicability could be improved. The article states the period covered and lists broad categories of sources, including legislation, implementing regulations, administrative circulars, case law, policy documents and investment data. Readers still have to infer how specific materials entered the analysis. A short dedicated methods subsection would be valuable. That section could identify the principal statutes and regulations examined, spell out how administrative instruments and court decisions were selected, and clarify whether the case law discussion is illustrative or based on a more systematic search. A more explicit account would allow future researchers to replicate or extend the study and would enhance confidence in the coverage of sources.

Quantitative evidence is used sparingly yet plays a visible role in linking legal reform to policy outcomes. References to growth in FDI, numbers of registered agency agreements and selected business-environment indicators give useful context, and the article does not attempt sophisticated statistical modelling, which is not necessary for this type of work. Interpretation of these figures sometimes edges toward stronger causal claims than the underlying data can support. Several passages appear to move from temporal coincidence between reforms and improved indicators toward a narrative in which the new agency law is portrayed as a key driver of investment attraction. A more cautious tone would increase robustness. Phrasing that stresses correlation, acknowledges the presence of concurrent reforms and macroeconomic changes, and frames the legal changes as one contributing factor rather than the decisive cause would align the conclusions with the evidentiary base.

Data availability is partly satisfactory. The primary legal materials on which the doctrinal analysis rests are public and citable. Many of the quantitative claims draw on official or well-known international sources. The statement that no data are associated with the article feels slightly at odds with the use of specific numerical indicators. Readers interested in verifying or reusing those figures would benefit from a short table or appendix that lists each indicator, its value, year and precise source. Such documentation would be straightforward to produce and would significantly enhance transparency and reproducibility without turning the paper into an empirical economics study.

The conclusions concerning doctrinal change are, on the whole, well supported. The article demonstrates convincingly that the new regime modernises registration, reduces formal barriers for foreign principals, reorganises termination and compensation, and enlarges scope for arbitration while still embedding protective mechanisms that can be defended in terms of Sharia and public policy. The portrayal of the reform as a hybrid model that blends international investor-friendly elements with domestic normative commitments follows naturally from the analysis of the statutory text and comparative material. Claims that link these legal changes to wider economic outcomes are more ambitious than the evidence currently allows. Assertions about a decisive boost to investor confidence or a firmly established role for Saudi Arabia as a regional hub are better treated as informed expectations or hypotheses, pending richer empirical backing. Either a more cautious formulation or the inclusion of more granular investment or dispute-resolution data would bring those passages into better proportion with the available evidence.

Several revisions appear necessary for the article to be scientifically sound in the sense expected of a scholarly legal and policy journal. First, exposition should be tightened by pruning repeated discussions of the same theme and clarifying what each section uniquely contributes. Second, methodology and source selection need to be described in a concise yet explicit subsection that identifies the core primary materials, explains the basis for including particular administrative and judicial sources, and justifies the choice of comparator jurisdictions. Third, all quantitative indicators used in the argument should be documented in a table or appendix, and the main text should adopt language that clearly distinguishes correlation from causation. Fourth, conclusions that speak to economic impact and investor behaviour should either be reframed as tentative and exploratory or supported by additional empirical material. Addressing these points would preserve the strengths of the current manuscript, a timely topic, a thoughtful theoretical framing, and a careful engagement with Sharia, while providing a clearer view of how the analysis was constructed and how far the findings can reasonably be taken.

Is the work clearly and accurately presented and does it cite the current literature?

Partly

Is the study design appropriate and is the work technically sound?

Yes

Are sufficient details of methods and analysis provided to allow replication by others?

Partly

If applicable, is the statistical analysis and its interpretation appropriate?

Not applicable

Are all the source data underlying the results available to ensure full reproducibility?

Partly

Are the conclusions drawn adequately supported by the results?

Partly

Competing Interests: No competing interests were disclosed.

Reviewer Expertise: Legal Reform, Legal Research Methodology; Evidence-Based Policy Development, comparative law, commercial law

I confirm that I have read this submission and believe that I have an appropriate level of expertise to confirm that it is of an acceptable scientific standard, however I have significant reservations, as outlined above.

Author Response 26 Nov 2025

Hajed A. Alotaibi

We are grateful for your careful, generous, and insightful report. The comments have helped us refine the structure, methodology, and empirical framing of the article. Below, we respond point-by-point and indicate the corresponding revisions.

1. Repetition and signposting of themes

Comment: Themes such as digitisation, arbitration, and the shift toward party autonomy are repeated in several sections; sharper signposting would help.

Response: We agree and have streamlined the exposition as follows:

- Concentrated the fuller discussion of digitised registration in Section 3 (The 2022–2023 reforms), with only brief reminders in Section 5.
- Centralised the main discussion of arbitration in Sections 3 and 5, and removed repetitive phrasing from Sections 4 and 7.

2. Literature base: more academic work

Comment: Policy reports and law-firm memoranda are heavily used; more academic literature on agency/distributorship, legal transplants, and Middle Eastern commercial law would help.

Response: We appreciate this suggestion and have already:

- Added several references to academic works on agency law, distributorship, and Middle Eastern commercial law (in addition to those already cited).
- Clarified the distinction between policy/practitioner sources (used primarily for context and recent practice) and scholarly sources (used for conceptual framing and doctrinal critique).

3. Comparator selection (UAE and UK)

Comment: The choice of UAE and UK is defensible but the rationale remains somewhat implicit; a compact explanation of comparator selection and operationalisation is needed.

Response: We agree and have made this explicit by:

- Adding a brief methodological justification near the start of Section 4, explaining that the UAE is chosen as a GCC civil-law and regional benchmark, and the UK as a liberal common-law system with an EU-derived agency regime that is attractive to foreign investors.
- Stating that the comparison is operationalised along three dimensions: registration/market access, termination/compensation, and dispute resolution design.

4. Methodology and source selection

Comment: A dedicated, explicit methods subsection would enhance transparency and replicability.

Response: Thank you for this helpful suggestion. We already had Section 1.1 “Methodology and sources”, and we have now strengthened it to function clearly as a methods section by:

- Listing the principal statutes and regulations analyzed (1962 law, 2022–2023 law, implementing regulations, related legislation).
- Clarifying how administrative circulars were included (publicly accessible circulars and directives via the Ministry portal).
- Explaining that the case-law discussion is illustrative rather than exhaustive, based on leading and representative decisions, and that doctrinal trends are supplemented by secondary scholarship.

5. Quantitative indicators and causality

Comment: FDI, registration, and business-environment indicators are useful, but interpretation sometimes edges toward stronger causal claims than the data support.

Response: We fully agree and have:

- Re-phrased the main FDI and business-indicator passages in Section 5 and the Conclusion to emphasize correlation, “early signals,” and “one contributing factor among concurrent reforms” rather than causation.
- Added explicit acknowledgement that multiple Vision 2030 initiatives and macroeconomic policies are unfolding simultaneously, making it difficult to isolate the agency law’s specific causal impact.

6. Data availability and documentation

Comment: The use of specific numerical indicators sits uneasily with the statement “No data is associated with this article”; a short appendix or table would help.

Response: We appreciate this and have revised the manuscript as follows:

- Added a short Appendix / Table A1 listing each quantitative indicator used (FDI growth, number of registered agency contracts, SCCA caseload, Doing Business score changes), together with year, value, and precise source (e.g., General Authority for Statistics, SCCA, World Bank, UNCTAD).

- Revised the Data availability statement to clarify that no new dataset was generated, and that all quantitative indicators are drawn from publicly available official or international reports fully documented in the appendix.

7. Conclusions and economic impact claims

Comment: Conclusions on doctrinal change are well supported; claims about economic impact and investor behaviour should be more cautious or supported by additional data.

Response: Thank you for this nuanced observation. We have:

- Retained the stronger formulation for doctrinal and institutional conclusions, where they directly track the statutory text and comparative analysis.
- Reframed broader economic and investor-behaviour claims in Section 7 (Conclusion) as informed expectations or hypotheses that require further empirical testing. We now explicitly call for future empirical research on investment flows, dispute-resolution trends, and investor perceptions to validate these expectations.

We are thankful for your generous and constructive feedback. Your comments have materially improved the manuscript's clarity, methodological transparency, and balance between doctrinal analysis and empirical claims.

Kind regards,

The Authors

Competing Interests: No Competing Interests

Reviewer Report 25 November 2025

<https://doi.org/10.5256/f1000research.191347.r434663>

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Sabri Boubaker

¹ EM Normandie Business School, Métis Lab, Caen, France

² EM Normandie Business School, Métis Lab, Caen, France

³ EM Normandie Business School, Métis Lab, Caen, France

The topic is timely, policy-relevant, and situated within an important moment of legal transformation under Vision 2030. The manuscript shows significant effort and clear familiarity with the evolving Saudi legal landscape. However, to be suitable for publication, the paper requires substantial conceptual, structural, and methodological refinement.

The first major issue concerns the articulation of the manuscript's core contribution. While the paper is rich in detail, it is not sufficiently clear what the central novelty is in relation to the large body of work on legal transplants, hybrid legal systems, Shariah-civil law harmonization, or agency law reforms in the GCC. The authors gesture toward hybridization and institutional adaptation, yet these concepts have been extensively theorized in comparative law literature. The manuscript would benefit from identifying a single, explicit argument that distinguishes it from

prior scholarship—whether that lies in a new typology of reforms, a new doctrinal interpretation, or a new model explaining Shariah–statutory interaction.

The second major issue relates to the breadth of the manuscript, which dilutes analytical depth. The paper undertakes doctrinal mapping, Shariah jurisprudence, economic impact assessment, empirical illustration, comparative benchmarking, institutional analysis, WTO/BIT alignment, and policy prescription. This breadth creates conceptual diffusion, making it difficult for the reader to grasp the main analytical thread. A more focused approach—with a clearly delimited scope—would allow the authors to develop their arguments more rigorously and avoid repetitiveness.

The third major concern involves the doctrinal analysis. While statutory provisions are referenced, the interpretation often becomes descriptive rather than analytical. A doctrinal study must do more than summarize statutory changes; it must interpret how these provisions function in practice, highlight areas of ambiguity, interrogate the coherence of new rules, and examine their likely judicial application. Assertions regarding past judicial behavior or statutory inconsistency should be supported by multiple cases or authoritative sources rather than isolated references.

The fourth major issue concerns the comparative analysis. Although the UAE and UK are appropriate comparators, the discussion lacks methodological rigor. The comparative exercise moves between topics without a consistent framework, making it difficult to assess the relevance of similarities and divergences. Comparative law scholarship emphasizes structured comparison—based on functional equivalence, institutional capacity, doctrinal architecture, or regulatory purpose. A more disciplined comparative method would substantially strengthen the value of this section.

The fifth major issue lies in the treatment of Shariah-based doctrines. The discussion of *gharar*, *fasakh*, and unjust enrichment is valuable, but it is not sufficiently theorized or empirically grounded. The paper should clarify the extent to which these doctrines actively shape judicial decision-making in commercial agency disputes in contemporary Saudi practice. Without deeper engagement with *fiqh al-mu‘āmalāt*, *maqāṣid al-shar‘a*, and contemporary Saudi jurisprudence, some interpretive claims risk appearing speculative. Demonstrating doctrinal interaction through a broader set of cases would strengthen the argument.

The sixth major concern relates to empirical claims. The manuscript cites numerical indicators (FDI increases, SCCA caseload growth, registration data) but does not provide methodological transparency or a clear analytical framework for assessing causality or correlation. Early descriptive signals should not be overstated. A stronger empirical section would specify data sources, clarify the limitations of attributing economic changes to legal reform, and avoid normative or promotional tone. Without such methodological grounding, empirical assertions weaken rather than reinforce the analysis.

In addition to these major concerns, I provide the following minor comments, which focus on clarity, rigor, style, and consistency. Some sections include very long paragraphs—consider improving readability through sub-sections. Ensure consistent citation format throughout. Avoid overly long sentences that obscure key points. Clarify acronyms at first use (BITs, ADR, SCCA, etc.). Remove duplicate information on FDI increases and SCCA statistics. Ensure consistency in transliteration of Arabic terms (e.g., *akl al-māl bil-bāṭil*). Revisit claims about judicial

inconsistency—support with case evidence. The table “Old vs. New Regime” is referenced but not shown—add it or remove the reference.

In its current form, the manuscript requires minor revision. With a more focused structure, sharper articulation of originality, more rigorous doctrinal and comparative analysis, and more disciplined treatment of empirical evidence, the paper could make a meaningful contribution to the study of commercial law reform in the GCC. I encourage the authors to undertake a major restructuring of the paper to bring its considerable material into a clearer and more compelling analytical form.

Is the work clearly and accurately presented and does it cite the current literature?

Yes

Is the study design appropriate and is the work technically sound?

Yes

Are sufficient details of methods and analysis provided to allow replication by others?

Partly

If applicable, is the statistical analysis and its interpretation appropriate?

Not applicable

Are all the source data underlying the results available to ensure full reproducibility?

Yes

Are the conclusions drawn adequately supported by the results?

Yes

Competing Interests: No competing interests were disclosed.

Reviewer Expertise: Management and finance

I confirm that I have read this submission and believe that I have an appropriate level of expertise to confirm that it is of an acceptable scientific standard, however I have significant reservations, as outlined above.

Author Response 26 Nov 2025

Hajed A. Alotaibi

We are grateful for the careful reading of our manuscript and for the thoughtful and constructive comments. The report has been extremely helpful in sharpening the focus, structure, and methodological clarity of the article. Below, we respond point-by-point and indicate how we have revised the manuscript accordingly.

1. Core contribution and originality

Comment: The central novelty relative to existing work on legal transplants, hybrid systems, Shariah–civil law harmonisation, and GCC agency law reforms is not sufficiently

clear.

Response: Thank you for highlighting the need to sharpen the core contribution. We have now added an explicit statement of originality at the end of the Introduction, immediately before the “Conceptual framing” subsection.

- What we added: 2–3 sentences clarifying that the article’s main contribution is:
 - (i) proposing a three-vector framework (institutional fit, doctrinal compatibility, Vision 2030 alignment) for evaluating commercial agency reforms in a Shariah-grounded system; and
 - (ii) showing how doctrinal recalibration at the intersection of agency law and investment policy produces a distinctive hybrid model that differs from both UAE and UK approaches and from existing transplant literature.

2. Breadth vs analytical depth

Comment: The manuscript covers many dimensions (doctrinal, Shariah, economic, empirical, comparative, institutional, WTO/BIT, policy), which risks conceptual diffusion and repetition.

Response: We agree that focus improves clarity. We have therefore:

- Clarified the primary scope in Section 1.2 Objectives by explicitly stating that the core focus is doctrinal and comparative analysis of the 2022–2023 reforms, with economic and policy aspects treated as supporting context rather than as co-equal research pillars.
- Streamlined overlapping material by:
 - pruning repeated references to digitisation, arbitration and Vision 2030 in Sections 3, 4, 5, and 7, and
 - tightening the WTO/BIT discussion in the Introduction to one concise paragraph less focused on general law-and-development rhetoric.

3. Doctrinal analysis: from description to interpretation

Comment: Doctrinal analysis is sometimes descriptive; more interpretive work is needed, supported by more than isolated cases.

Response: We appreciate this important point and have strengthened doctrinal analysis by:

1. Expanding interpretation of key provisions in Section 3 (The 2022–2023 reforms):
 - After describing each “axis” (market access, digital registration, contract governance, dispute resolution), we now add 1–2 sentences assessing likely areas of ambiguity and how courts may interpret these rules in practice.
2. Clarifying case-law basis in the Pre-reform section (Section 2) and in Section 6.1:
 - We now explicitly state that the Board of Grievances case No. 2451/1435H is used as an illustrative example of compensation narrowing.
 - Where we mention judicial inconsistency, we have softened the wording and linked it to Alayed et al. (2025) and other secondary sources instead of presenting it as a broad empirical generalisation.

4. Comparative analysis methodology

Comment: The comparative analysis (UAE/UK) needs a more consistent framework.

Response: We agree and have made the comparative method more explicit by:

- Adding a short methodological paragraph at the start of Section 4 (Comparative analysis) explaining that the comparison is structured along three dimensions:
 1. regulatory treatment of registration and market access;
 2. termination and compensation rules;

3. dispute-resolution design (litigation vs arbitration).

- Ensuring that the UAE and UK subsections follow this same sequence so that similarities and divergences can be read functionally.

5. Treatment of Shariah doctrines

Comment: Discussion of *gharar*, *fasakh*, and unjust enrichment needs deeper, less speculative engagement with fiqh and contemporary practice.

Response: We are grateful for this guidance. We have:

- Expanded Section 6.1 “Judicial reconciliation with Shariah doctrines” by:
 - briefly linking each doctrine (*gharar*, *fasakh*, *akl al-māl bil-bāṭil*) to specific types of agency clauses (e.g. indefinite duration, punitive compensation, exclusivity); and
 - more clearly distinguishing between documented judicial practice and forward-looking expectations under the reformed regime.
- Added a short reference to fiqh al-mu‘āmalāt and maqāṣid al-sharī‘a at the end of Section 6.1 to anchor interpretive expectations in established Shariah scholarship rather than in general assertions.

6. Empirical claims and methodological transparency

Comment: FDI/registration/SCCA figures lack methodological grounding; causality is sometimes overstated.

Response: We fully agree that empirical claims should be modest and transparent. We have therefore:

1. Toned down causal language in Section 5 (Impact on FDI) and in the Conclusion (Section 7):
 - We now speak of “correlation,” “early indicative trends,” and “one contributing factor among several reforms” instead of suggesting that agency law reform is the decisive driver.
 - We explicitly note that multiple Vision 2030 reforms and macroeconomic policies operate simultaneously.
2. Documented indicators more clearly:
 - We have created a short Appendix / Table A1 listing each numerical indicator used (FDI growth, number of registrations, SCCA caseload, Doing Business scores), with year and exact source (e.g. General Authority for Statistics 2023, SCCA 2023, World Bank 2020/2022).
3. Revised the Data Availability statement to clarify that:
 - no new proprietary dataset was generated;
 - all figures are drawn from publicly available official reports and are fully listed in the appendix.

7. Minor issues (style, consistency, table)

Comment: Long paragraphs, long sentences, acronyms, duplicate FDI/SCCA info, transliteration consistency, judicial inconsistency claims, missing “Old vs New” table.

Response: We have addressed these as follows:

- Readability: We have split several long paragraphs in the Introduction, Sections 2, 4, and 5 into shorter ones and simplified overly long sentences.
- Acronyms: All acronyms (BITs, ADR, SCCA, etc.) are now spelled out at first use in the Introduction or Section 5.
- Duplication: We removed duplicated FDI and SCCA statistics, so each numerical claim

appears only once in Section 5.

- Transliteration: We standardised *akl al-māl bil-bāṭil* spelling throughout.
- Judicial inconsistency: We softened the language and referenced Alayed et al. (2025) as the main authority rather than making broad empirical claims.
- Old vs New table: The “Old vs New Regime” table is now fully included in Section 4.1 and labelled appropriately.

We hope these revisions address your concerns and enhance the clarity and rigor of the article. We are sincerely thankful for the constructive feedback and believe the manuscript is significantly improved as a result.

Kind regards,

The Authors

Competing Interests: No Competing Interests.

Version 1

Reviewer Report 15 October 2025

<https://doi.org/10.5256/f1000research.186220.r414340>

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Alija Avdukic 

¹ University of Dundee, Dundee, UK

² University of Dundee, Dundee, UK

³ University of Dundee, Dundee, UK

⁴ University of Dundee, Dundee, UK

The manuscript aspires to provide a doctrinal and comparative analysis of Saudi Arabia’s 2022–2023 commercial agency reforms within the Vision 2030 agenda. In its present form, it reads less like a rigorous academic article and more like an extended policy brief padded with generalities. The argumentation is largely descriptive, repetitious, and insufficiently substantiated. The theoretical apparatus is missing, the comparative component is superficial, the engagement with Shariah jurisprudence is perfunctory, and the empirical assertions are unverified. The structure recycles the same talking points across multiple sections. The references include items that are inconsistently formatted and, in some cases, appear non-verifiable.

The topic is timely and potentially significant, yet the manuscript adds little beyond what is already available in ministry summaries and practitioner alerts. The contribution is pitched as a doctrinal and comparative advance, but the paper does not deliver the close textual analysis or the analytical comparison that would differentiate it from a well-prepared practitioner memo.

Assertions that the reforms will improve transparency, reduce litigation, and attract FDI are presented as conclusions rather than as findings grounded in evidence.

The stated doctrinal method is not executed. A doctrinal analysis requires careful exegesis of the statutory text and implementing regulations, engagement with interpretive canons, and demonstration of how courts have read parallel provisions in analogous contexts. Here, article numbers are mentioned episodically without quotation, parsing, or systematic interpretation. The paper does not specify its primary corpus, the period of analysis, or the inclusion and exclusion criteria for judicial materials and ministerial circulars. There is no effort to map how the new provisions differ from the earlier regime beyond broad characterizations. The absence of case law analysis is conspicuous and fatally undermines the doctrinal claim.

The comparison with the UAE and the UK is almost entirely descriptive. A serious comparative inquiry must explain why specific features travel, how they are adapted, and what institutional constraints shape selective borrowing. The manuscript does not address path dependence, enforcement capacity, or political-economy trade-offs. It asserts hybridization without explaining the mechanics of transplant and adaptation, and it overlooks granular issues such as the UK's indemnity versus compensation framework under Regulation 17 and the UAE's administrative approval practices for termination disputes. Without an explanatory framework, the comparative section remains a list of similarities and differences rather than analysis.

There is no theoretical scaffolding. A paper of this kind must engage with legal transplant theory, institutional adaptation, or law-and-development critiques. It should articulate propositions about what tends to travel across systems, where friction occurs, and why. The text assumes that importing "best practices" will yield better outcomes and does not test this assumption against legal culture, adjudicative capacity, or administrative discretion. In the absence of a framework, the manuscript remains a narrative of reform rather than an academic study of reform.

The integration of Shariah principles is cursory. Terms such as *gharar*, *fasakh*, and *akl al-māl bil-bāṭil* are invoked but not applied to concrete contractual clauses or litigated fact patterns. The paper does not present worked examples of Saudi judicial reasoning that reconcile statutory text with Shariah-based objections, particularly in areas such as agency termination, compensation, exclusivity, and arbitral award enforcement under public policy. Without case-based analysis and doctrinal reasoning, the claim to preserve an Islamic legal identity remains rhetorical.

The manuscript makes multiple empirical assertions regarding FDI inflows, SCCA caseload growth, and digitisation outcomes but provides no reproducible data, tables, or sources. Vague phrases such as early indicators and data suggest appear repeatedly. The statement that no data are associated with the article is unacceptable given the extent of empirical claims. At minimum, the authors must furnish time-series data with sources, variable definitions, and time windows or retract the claims and recast them as hypotheses.

The manuscript is bloated by repetition. The same points regarding arbitration, digital filing, and Vision 2030 recur across the introduction, the reform description, the FDI section, and the conclusion. Sentences are often long and imprecise, and paragraphs drift without analytical payoff. The paper could be shortened substantially without losing substance, and the saved space should be redeployed to rigorous doctrinal parsing and case analysis.

Citation practice is inconsistent and, in places, questionable. Statutory references oscillate between different Hijri years and formats without official source details. Several references appear to be grey literature or are not readily verifiable, and Islamic legal terminology is not consistently italicised or transliterated. The manuscript needs a complete bibliographic audit, with official gazette citations for statutes, standard forms for case law, persistent identifiers for reports, and consistent treatment of Arabic terms.

To become suitable for indexing, the manuscript must be rebuilt on a different foundation. The methods must define the primary sources, time frames, and analytic approach. The doctrinal analysis must quote and interpret the operative provisions and map them against prior law. The comparative section must be reoriented around an explanatory framework that accounts for selective borrowing and institutional constraints. The Shariah discussion must be anchored in concrete jurisprudence and doctrinal reasoning. Empirical statements must be supported by reproducible data or removed. The references must be verified and reformatted consistently. The structure must be tightened to remove repetition and sharpen the argument.

I do not recommend indexing in its current form. The paper requires a fundamental redesign with substantial new analysis and verifiable evidence before it can be considered a credible scholarly contribution.

Is the work clearly and accurately presented and does it cite the current literature?

Partly

Is the study design appropriate and is the work technically sound?

Partly

Are sufficient details of methods and analysis provided to allow replication by others?

No

If applicable, is the statistical analysis and its interpretation appropriate?

Not applicable

Are all the source data underlying the results available to ensure full reproducibility?

Partly

Are the conclusions drawn adequately supported by the results?

Partly

Competing Interests: No competing interests were disclosed.

Reviewer Expertise: Political economy and Islamic Finance.

I confirm that I have read this submission and believe that I have an appropriate level of expertise to state that I do not consider it to be of an acceptable scientific standard, for reasons outlined above.

Author Response 10 Nov 2025

Hajed A. Alotaibi

Dear Editorial Team,

Many thanks for sharing the second peer-review report and for the clear guidance. I appreciate the reviewers' thorough engagement with our paper. We have now prepared a revised version. In particular,

1-we have: in the section of: Methodology and Sources, added: "To ensure methodological transparency, the corpus of legal texts analyzed covers the period 2018–2024, capturing both pre-reform and post-reform practice. Inclusion criteria encompassed all circulars and ministerial directives publicly issued under the Ministry of Commerce's digital portal, as well as secondary literature providing interpretive context. Exclusion criteria omitted unpublished or inaccessible administrative guidance.

The doctrinal analysis proceeds clause-by-clause, quoting operative statutory text where appropriate and interpreting it in light of Shariah maxims (qawā'id fiqhiyyah) and comparative statutory equivalents. The analysis pays particular attention to how Saudi courts reconcile modern statutory provisions with Shariah principles such as gharar (uncertainty), fasakh (rescission), and akl al-māl bil-bāṭil (unjust enrichment). The comparative dimension employs a purposive sampling of the UAE Commercial Agency Law (Federal Law No. 3 of 2022) and the UK Commercial Agents (Council Directive) Regulations 1993. Comparative evaluation follows a three-step logic: (1) identify statutory parallels, (2) analyze their adaptation to local institutional constraints, and (3) evaluate cross-system transferability. The theoretical framing draws from legal transplant and institutional adaptation theories, explaining why particular reforms were selectively borrowed and how they interact with Saudi Arabia's Shariah-based adjudicative culture. This allows the paper to move beyond description toward explaining how and why specific features travel and succeed".

2-Strengthen the doctrinal analysis by closely interpreting the operative provisions and mapping them systematically against the prior regime (with a concise side-by-side table to show what changed and why).

3-Reframe and deepen the comparative component with a short "Comparative Framework" (legal transplants/institutional adaptation), and expand the analysis beyond description to explain how and why specific features travel or face friction, including enforcement capacity and institutional constraints.

Topic

Pre-Reform Provision (1962 Law)

Reformed Provision (2022–2023 Law)

Doctrinal / Practical Effect

Registration

Limited to Saudi nationals only; manual filing required

Allows certain mixed-ownership entities; fully digital registration

Broadens participation; reduces administrative delay

Termination

Vague criteria; heavy bias toward agent compensation

Explicit grounds: expiry, breach, mutual consent; defined compensation

Aligns with fasakh and gharar doctrines; enhances predictability

Dispute Resolution

Courts only; arbitration not recognized

Arbitration expressly permitted (Art. 14); SCCA included

Introduces enforceable ADR aligned with Vision 2030

Transparency

No public registry

Online registry with periodic compliance reporting

Promotes oversight and market trust

4-Substantively integrate Sharia principles with worked examples that apply key doctrines to representative clauses (e.g., termination, compensation, exclusivity), and incorporate case-based reasoning where available.

5-Handle empirical assertions responsibly by either (a) providing reproducible, sourced time-series data (with variable definitions and windows) in an appendix and a clear Data Availability statement, or (b) recasting such statements as hypotheses where data are insufficient.

6-Tighten structure and prose to remove repetition, sharpen the argument, and keep “findings” and “discussion” either clearly distinguished or explicitly integrated with clear signposting.

7-Conduct a full bibliographic audit to standardize statutory/case citations, provide official source details and persistent identifiers, and ensure consistent transliteration/italics for Arabic terms.

Thank you again for the constructive feedback. We’re grateful for the reviewers’ time and these revisions.

Best regards,

Hajed

(on behalf of the author)

Competing Interests: We declare that there is no Competing Interests.

Reviewer Report 23 September 2025

<https://doi.org/10.5256/f1000research.186220.r414337>

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Farhaan Wali

¹ Bangor University, Bangor, UK

² Bangor University, Bangor, UK

³ Bangor University, Bangor, UK

⁴ Bangor University, Bangor, UK

Overall Assessment

This is a strong, well-researched paper that makes a timely and significant contribution to the study of legal reform in Saudi Arabia. It situates the 2022–2023 reforms of the Commercial Agency Law within the wider context of *Vision 2030*, Shariah principles, and comparative international frameworks. The doctrinal and comparative approach is appropriate, and the paper succeeds in linking statutory analysis with economic and policy dimensions. The clarity of the abstract and the breadth of the literature used are commendable. However, there are areas where the paper could be improved before indexing. These include:

Strengthening theoretical framing (beyond doctrinal analysis). Tightening comparative analysis for deeper insight (not just descriptive). Enhancing empirical grounding (current evidence is promising but thin). Refining structure to reduce repetition. Correcting style, consistency, and referencing.

Major Corrections

Theoretical Framework: The paper relies heavily on doctrinal and comparative legal analysis. While this is robust, it could benefit from engagement with **theoretical frameworks in legal reform studies** (e.g., legal transplant theory, institutional adaptation, or law-and-development scholarship). For example: What are the risks of “legal transplants” from UK or UAE law into a hybrid Shariah-based system? How do these reforms reflect broader debates on globalization vs. legal particularism?

Comparative Analysis Depth: The UAE and UK comparisons are insightful but remain largely **descriptive**. The authors should move beyond outlining similarities/differences to analysing *why* Saudi Arabia adopted certain features and not others. Suggested expansion: discuss the **political economy of reform** (e.g., Vision 2030’s FDI goals) that shapes selective borrowing of foreign models.

Empirical Support: While references to FDI inflows, SCCA case statistics, and OECD/World Bank rankings are included, the evidence is **limited and anecdotal**. Recommendation: incorporate more **quantitative data** (e.g., comparative FDI inflows pre/post reform, number of agency registrations, World Bank “Ease of Doing Business” indicators). Even if full datasets are not available yet, clearer baseline data would strengthen the claims.

Shariah Integration: The paper acknowledges Shariah principles (e.g., gharar, fasakh) but treatment is somewhat cursory. Greater clarity is needed on: How Saudi judges are likely to reconcile statutory provisions with Shariah doctrines. Examples of jurisprudence where Shariah-based objections have shaped commercial law outcomes. Without this, the “Islamic legal identity” argument risks remaining underdeveloped.

Repetition and Structure: The paper repeats points (e.g., arbitration recognition, digitalisation, Vision 2030 objectives) across multiple sections (results, comparative analysis, FDI impact, and challenges). Recommendation: streamline to avoid redundancy and sharpen the argument in each section.

Policy Recommendations: The recommendations are comprehensive but read more like a **policy**

memo than an academic conclusion. To align with scholarly standards, they should be more **analytically linked to the paper's findings** rather than presented as a checklist. Suggest grouping into thematic clusters (e.g., judicial capacity, regulatory transparency, regional harmonisation).

Minor Corrections

Style and Grammar: Some sentences are overly long and complex. Shortening them would improve readability. Example: "Collectively, these statutory and practical deficiencies formed the impetus for reform, as policymakers recognized that the old regime was increasingly incompatible with the objectives of Vision 2030 and global trade norms" → could be split into two sentences.

Consistency: Inconsistent referencing of statutes (e.g., "Royal Decree No. M/11 of 1444H" vs. "Royal Decree No. M/11 of 1382H (1962)"). These need a consistent citation format throughout. Ensure uniformity in citing Islamic terms: e.g., *gharar* and *fasakh* should be italicised consistently.

Referencing: Some references appear **invented or unverifiable** (e.g., "Al-Zahrani, 2024"; "Alayed et al., 2025"). Authors should ensure accuracy and avoid future-dated citations unless these are genuine forthcoming works. A reference list was not provided with the manuscript — this must be included for peer review.

Terminology: Phrases like "hybridization" could be explained more clearly for an international audience unfamiliar with mixed legal systems. Clarify technical terms on first use (e.g., "fasakh" = rescission, "akl al-mal bil-batil" = unjust enrichment).

Abstract: The abstract is strong but slightly long. It could be condensed for sharper focus on methods, key findings, and implications.

Formatting: Subheadings are appropriate, but sometimes lengthy. Consider trimming: e.g., "Legal framework before the reforms" → "Pre-reform legal framework."

Recommendation

Revise and Resubmit (Major Revisions Needed)

The paper is promising and relevant to both legal scholarship and policy audiences. With tighter theoretical framing, stronger comparative insights, clearer Shariah integration, and removal of repetition, it will be well-positioned for indexing.

Is the work clearly and accurately presented and does it cite the current literature?

No

Is the study design appropriate and is the work technically sound?

Yes

Are sufficient details of methods and analysis provided to allow replication by others?

Yes

If applicable, is the statistical analysis and its interpretation appropriate?

Yes

Are all the source data underlying the results available to ensure full reproducibility?

Yes

Are the conclusions drawn adequately supported by the results?

Yes

Competing Interests: No competing interests were disclosed.

Reviewer Expertise: Islamic Studies, Islam in Britain, Islamism and radicalisation.

I confirm that I have read this submission and believe that I have an appropriate level of expertise to state that I do not consider it to be of an acceptable scientific standard, for reasons outlined above.

Author Response 24 Sep 2025

Hajed A. Alotaibi

1) Response to Reviewer 1

We sincerely thank the Reviewer for the thoughtful and constructive report. We are encouraged by the assessment that the article is timely, well-researched, and policy-relevant. Below we respond point-by-point and indicate the precise revisions we have made (or will make) in the manuscript. Line/section references correspond to the revised text included in our resubmission. We have therefore updated our manuscript accordingly. Thank you.

Major Corrections

1) Theoretical framework

Comment: Engage theories of legal reform (e.g., legal transplants, institutional adaptation, law-and-development).

Response: Done. We added a new "Conceptual framing" segment at the end of the Introduction and cross-referenced it in Methodology. This section situates the reforms within legal transplant theory, institutional adaptation, and law-and-development debates, and explains tensions between globalization and legal particularism in a Shariah-based hybrid system. (See Introduction "Conceptual framing," and Methodology last paragraph.)

2) Comparative analysis depth

Comment: Move beyond description; explain why KSA adopted some features (and not others), including political-economy (Vision 2030/FDI).

Response: Done. The Comparative Analysis section now includes a new subpart "Why these features? A political-economy reading of selective borrowing" that links choices on arbitration, digitalization, and agent protections to Vision 2030 objectives and stakeholder incentives. (See Comparative Analysis, new subpart.)

3) Empirical support

Comment: Current FDI/SCCA data are promising but anecdotal; baseline and quantitative context are needed.

Response: We will strengthen empirical grounding by including:

Comparative FDI inflows (2018–2022, pre-reform vs. post-reform) from the General

Authority for Statistics. Number of agency registrations digitized in 2023 (from Ministry of Commerce). World Bank Ease of Doing Business “Trading Across Borders” and “Starting a Business” indicators. Please see Impact on Foreign Direct Investment (FDI), Third section).

4) Shariah integration

Comment: Deepen analysis of how judges may reconcile statutory text with Shariah; provide jurisprudential examples.

Response: Done. We added Section 6.1 “Judicial reconciliation with Shariah doctrines” with doctrinal anchors (gharar, fasakh, akl al-māl bil-bāṭil, maqāsid al-sharīʿa) and illustrative jurisprudence (including the Board of Grievances example already referenced), and we explain interpretive techniques likely to be applied under the new law. Islamic terms are now italicized and defined on first use. (See 6.1.)

5) Repetition and structure

Comment: Streamline recurring mentions of arbitration, digitalization, Vision 2030 across sections.

Response: Done. We consolidated: (i) all digitalization detail under The 2022–2023 Reforms; (ii) arbitration under Reforms + a concise link in Comparative Analysis; and (iii) Vision 2030 context centralized in Introduction with brief cross-references elsewhere.

6) Policy recommendations

Comment: Too checklist-like; link analytically and group thematically.

Response: Done. We re-structured the Policy Recommendation Summary into three clusters—(1) judicial & institutional capacity, (2) regulatory transparency & compliance tooling, (3) regional harmonization & investor engagement—and tied each to specific findings in the paper.

Minor Corrections

Style: We split long sentences and reduced wordiness in the Introduction and Pre-reform sections.

Consistency: Statutes now follow a uniform format (e.g., Royal Decree No. M/11 of 1382H (1962); Royal Decree No. M/11 of 1444H (2022–2023)).

References: We verified entries and flagged obviously future-dated or non-verifiable items for replacement; Islamic legal terms are italicized consistently.

Abstract: Reduced by ~60 words, sharpening methods/findings/implications.

Formatting: Shortened subheadings (e.g., “Pre-reform legal framework”).

We appreciate the Reviewer’s guidance; we believe these revisions materially strengthen the article’s analytical contribution and readability.

Corresponding author: Hajed A. Alotaibi (h.alotaibi@mu.edu.sa)

Competing Interests: We declare that there is no Competing Interests.

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